

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

VANASIA TRADING GROUP, INC., *Claimant*

v.

BILINK SHIPPING CORP., *Respondent*.

DOCKET NO. 2037(I)

Served: July

July 14, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding arises from a Small Claim for Informal Adjudication (Claim), together with a Memorandum in Support of Claim (Memorandum), and exhibits filed by Vanasia Trading Group, Inc. (Claimant) with the Federal Maritime Commission (FMC or Commission) against Respondent Bilink Shipping Corp. (Respondent). The Claim and Memorandum allege that Respondent violated 46 U.S.C. §§ 41102(c) and 41102(d) of the Shipping Act. Claimant further asserts Respondent violated various general duties of an ocean transportation intermediary. *See* Claim; Amended Claim.

In brief, Claimant presents three principal assertions. First, Respondent is a Canadian ocean transportation intermediary (OTI) that routinely books cargo from the United States, and is operating without a license, registration, published tariff or bond as required by the FMC. Second, Respondent improperly reallocated payments intended for two shipments to a separate, unrelated and allegedly fabricated demurrage invoice. Respondent then refused to release the shipments until freight charges, and the unrelated invoices were paid. Claimant further alleges that Respondent withheld the release of two other shipments as leverage despite having received a guarantee of payment. As a result of Respondent's refusal to release the containers for non-payment, Claimant became responsible for demurrage charges at Port Klang, Malaysia, and suffered other commercial harm. Finally, Claimant alleges Respondent retaliated against it for

¹ Pursuant to 46 C.F.R. § 502.304(g), this initial decision will become final unless the Commission elects to review it within thirty (30) days of service.

filing an enforcement request with Bureau of Enforcement, Investigations, and Compliance (BEIC). *Id.*

In contrast, Respondent contends that, although FMC jurisdiction is not challenged, Canadian law governs this dispute because both parties are Canadian entities. Respondent further asserts that it fully performed the contracted transportation services, that Claimant failed to pay the amounts due, and that Respondent possessed a valid maritime lien on the cargo entitling it to withhold release pending payment of freight. While acknowledging that it applied payments for two shipments to another outstanding invoice, Respondent maintains that the reallocation was consistent with its company policy of applying payments to the oldest unpaid balance. Respondent also denies retaliating against Claimant for filing a BEIC complaint and asserts that Claimant's pursuit of regulatory remedies does not excuse its obligation to pay for services rendered. *See* Response; Amended Response.

As explained in more detail below, Claims against CMA CGM are dismissed. Similarly, Respondent's counterclaim is dismissed. Claimant has established that Respondent violated 46 U.S.C. § 41102(c) by reallocating freight payments on shipments to an unrelated demurrage invoice and withholding release documents for all four shipments at issue as leverage on the unrelated debt. Although Respondent's conduct proximately caused the delay in release of shipments, Claimant failed to demonstrate that it sustained actual injury and is not entitled to reparations. The unrelated demurrage invoice (invoice S-27722) is determined to be invalid and unenforceable against Claimant because it fails to satisfy the invoicing requirements and does not establish that Claimant is legally responsible for the charges. Respondent is directed to reallocate funds applied to this invoice to the proper freight invoices. While Claimant has established that Respondent's reallocation of freight payments intended for two shipments to the separate and unrelated demurrage invoice was an unlawful practice under 46 U.S.C. § 41102(c), Claimant has not established an actual monetary loss and is not entitled to a refund of these payments. Claimant has not established that Respondent retaliated against Claimant in violation of section 41102(d). Claimant further established that Respondent violated 46 U.S.C. § 40901(a) and 46 C.F.R. § 515.31(j); however, Respondent did not assert any actual injury connected with Respondent's unlicensed status. Finally, Respondent has since registered with the Commission and posted the required bond so Claimant's request for a cease and desist order is not warranted and is denied.

B. Procedural History

On August 14, 2025, the Office of the Secretary of the FMC (OS) issued a Notice of Filing of Small Claims Complaint and Assignment (Notice), notifying Respondent of the Claim and directing it to file a response by September 8, 2025. The Notice also instructed Respondent to indicate whether it consented to the use of the informal procedures at Subpart S of the Commission's Rules of Practice and Procedures. 46 C.F.R. § 502.301-305. Notice, at p. 1.

On August 15, 2025, Claimant gave notice that it wished to amend the Claim to include a request for a cease and desist order. *See* Request to Amend.

On September 5, 2025, Respondent filed an unverified Response to Small Claim for Informal Adjudication (Response) and supporting exhibits that also failed to indicate whether Respondent consented to the informal small claims procedures. *See* Response.

Also on September 5, 2025, OS served Claimant's second Small Claim for Informal Adjudication, which is treated as an amended claim. *See* Amended Claim. The Amended Claim did not modify the facts or Claimant's substantive arguments. Rather, the amendments revised Claimant's request for relief and added a request for the Commission to issue a cease and desist order prohibiting Respondent from continuing to operate in United States trade without an OTI license or registration. *Id.* The Notice of Filing of Amended Claim (Notice of Amended Claim) instructed Respondent that it must file a response to the Amended Claim on or before September 30, 2025. *See* Notice of Amended Claim.

On September 24, 2025, the Office of the Administrative Law Judges instructed Respondent to submit a verified response and enter an appearance before September 26, 2025. *See* Judges Email. On September 25, 2025, Respondent entered an appearance and filed a verified Response to the Amended Small Claim (Amended Response) along with supporting exhibits. *See* Amended Response. The Amended Response did not indicate whether Respondent refused or consented to the informal small claims procedures; therefore, the Amended Response is deemed to indicate consent. 46 C.F.R. § 502.304(e).

On September 30, 2025, the Chief Administrative Law Judge issued a Notice of Assignment (NOA) appointing Theresa Dike as Small Claims Officer to adjudicate this proceeding. *See* NOA.

The federal government experienced a shut down from October 1, 2025 through November 12, 2025.

On March 5, 2026, the Chief Administrative Law Judge issued a Notice of Reassignment (NOR) reassigning the proceeding to the undersigned Small Claims Officer. *See* NOR.

On April 3, 2026, pursuant to 46 C.F.R. § 502.305(a), (e) of the Commission's Rules, the undersigned issued an Order Requesting Additional Documents and Information (RFI). The parties were ordered to submit responses and additional documentation by April 17, 2026. Parties that wished to reply to the opposing party's response were directed to do so by May 1, 2026. *See* RFI.

On April 17, 2026, both Claimant and Respondent filed responses to the RFI along with additional exhibits. *See* C. Resp. RFI; R. Resp. RFI.

On May 6, 2026, the undersigned issued a Second Order Requesting Additional Documents and Information (Second RFI). The parties were ordered to submit responses and additional documentation by May 20, 2026. Parties that wished to respond to the opposing party's responses were directed to do so by May 27, 2026. *See* Second RFI.

On May 20, 2026, both Claimant and Respondent filed responses to the Second RFI along with additional exhibits. *See* C. Resp. Sec. RFI; R. Resp. Sec. RFI.

On May 27, 2026, both Claimant and Respondent filed replies to the other party's submission in response to the Second RFI. *See* C. Reply; R. Reply.

C. Arguments of the Parties

1. Claimant's Arguments

Claimant alleges that Respondent, a Canadian company operating without an FMC license or registration, improperly applied payments received for two freight shipments to an allegedly fraudulent and invalid demurrage invoice associated with an unrelated shipment handled by a different carrier. Claimant further asserts that, because Respondent had previously redirected payments in this manner, it withheld payment for two additional shipments to prevent Respondent from applying those funds to the unrelated demurrage invoice. Instead, Claimant offered to guarantee payment for the two shipments on the condition that Respondent release the cargo. Respondent rejected the payment guarantee. *See* Claim; Amended Claim; C. Resp. RFI; C. Resp. Sec. RFI.

According to Claimant, Respondent refused to release the cargo for all four shipments due to non-payment of the freight and unrelated demurrage invoice. As a result, storage and demurrage costs continued to accrue at Port Klang, Malaysia. Claimant contends it attempted to resolve the matter with a conditional payment plan for all four shipments in addition to the unrelated demurrage; however, Respondent rejected Claimant's proposal. *Id.*

Claimant further maintains that Respondent retaliated against it for filing a Preliminary Enforcement Request with BEIC. Specifically, Claimant asserts that Respondent engaged in harassment through repeated payment demands, made false and defamatory statements to the vessel carrier about Claimant, and filed a retaliatory complaint with the FMC against Claimant. *Id.*

Claimant seeks reparations in the amount of \$30,640 for cargo value loss due to market changes, demurrage, storage and clearance fees, commercial disruption, administrative processing costs, and recovery of allegedly misapplied payments. In addition, Claimant requests that the Commission void the unrelated demurrage invoice, reimburse freight charges for two shipments, and issue a cease and desist order preventing Respondent from continuing to engage in OTI activities in the United States without an FMC license and bond. *Id.*

2. Respondent's Arguments

Although Respondent does not expressly challenge FMC jurisdiction, it contends that Canadian law, including the Canadian Shipping Act, 2001, should govern this dispute because both parties are Canadian entities. *See* Response; Amended Response; R. Resp. RFI; R. Resp. Sec. RFI.

Respondent further asserts that it fully performed the contracted shipping services for Claimant with respect to the four shipments at issue and that Claimant failed to remit payment due for these services. Respondent maintains that it possessed a valid lien on the cargo and was entitled to condition release of the shipments on satisfaction of the outstanding invoices. Respondent does not dispute that it applied payments for two of the shipments to the unrelated

demurrage invoice; however, Respondent contends that this reallocation was consistent with its internal policy to apply payments to the oldest outstanding invoice. At the time of Respondent's pleading, it had reapplied freight payments to the proper invoices. Respondent denies retaliating against Claimant for filing a BEIC complaint and asserts that the right to pursue regulatory remedies does not relieve Claimant from the obligation to pay for the transportation services that Respondent rendered. *Id.*

II. FINDINGS OF FACT (FF)

A. The Parties

1. Claimant, Vanasia Trading Group, Inc. is a Canadian importer/exporter in international trade with a principal place of business in British Columbia, Canada. Claimant also books shipments under the trade name D&J Calianing International Trade Co. Claim, at ¶ I; Amended Claim, at ¶ I.
2. Respondent, Bilink Shipping Corp., is a Canadian logistics corporation with a principal place of business in Ontario, Canada. Response, at ¶ II; Amended Response, at ¶ II.
3. Effective August 20, 2025, Respondent registered with the Commission as a foreign non-vessel-operating common carrier (NVOCC) under Organization No. 035016. R. Resp. RFI, at pg. 3; *see also* <https://www2.fmc.gov/oti/> OTI List Download (last visited July 6, 2026).

B. Unrelated Demurrage Invoice S-27722

4. On September 5, 2024, Respondent issued freight invoice S-25897 for COSCO line shipment 6394725110 (containers BMOU5037750 and OOCU7964490). Amended Claim, at V-11.
5. Respondent paid freight invoice S-25897 on November 8, 2024. C. Resp. RFI, at Q3, V-21.
6. The underlying bill of lading for shipment 6394725110 lists the shipper as "Sea Trade International, Inc. as NVOCC for Vanasia Trading Group, Inc." Amended Response, at Evidence 2.
7. Container BMOU5037750 was detained at customs causing demurrage to begin accruing as of December 2024. Response, at Evidence 5; Amended Response, at Evidence 2.
8. On April 30, 2025, Respondent contacted Claimant about the accruing demurrage charges for container BMOU5037750. Claimant denied liability stating it paid the ocean freight and released the cargo to the consignee who was actively working on mitigation with COSCO. Respondent replied that the consignee did not collect the container, so demurrage is charged under the shipper's account. *Id.*

9. On May 1, 2025, Respondent sent Claimant a demurrage invoice S-27722 in the amount of \$7,500 for COSCO shipment 6394725110 reflecting the demurrage charges at Port Klang from December 2024 through April 2025 at \$50/day, \$1,500/month. *Id.*; *see also* Claim, at V-2.
10. On July 25, 2025, COSCO emailed Respondent requesting that it ask the NVOCC to approach the consignee regarding release status of container BMOU5037750 because demurrage was increasing. Respondent directed COSCO to contact the consignee because “any oversea invoice sholud be issue [sic] to consignee directly.” Amended Response, at Evidence 2.
11. On August 25, 2025, COSCO notified Respondent and the NVOCC that, effective July 1, 2025, the terminal operator at Port Klang would begin billing storage to the shipping line on a monthly basis for containers left uncollected at the terminal past thirty days. COSCO asked that these charges be added to the manifest for the shipper to bear. Prior to the new policy, the port billed and collected storage charges directly from the consignee at the time of cargo pickup. *Id.*
12. On September 11, 2025, Respondent issued a notice of lien to Claimant for unpaid freight charges on shipment 6394725110; however, demurrage invoice S-27722 was attached to the notice rather than freight invoice S-25897. *Id.*

C. Paid Shipments CAN0881887 & CAN0892597

13. Per booking instructions, Respondent sent Claimant draft CMA CGM bill of lading for shipment CAN0881887 from the United States to Malaysia, listing Vanasia Trading Group as shipper, purchasing merchant as consignee, and Respondent as forwarding agent. R. Resp. Sec. RFI, at Q1.
14. Respondent issued invoice S-27597 to Claimant in the amount of \$1,810 for shipment CAN0881887 (container numbers ECMU9547510 and CMAU7123969). The invoice lists a freight charge for each container 1 x 40’ HC \$880 (\$1,760) and an AES fee of \$50. Claim, at V-3.
15. CMA CGM issued a freight invoice to Respondent for shipment CAN0881887 in the amount of \$1,100 plus \$160 bunker surcharge and \$75 export documentation fee. R. Resp. Sec. RFI, at Q2.
16. Claimant paid invoice S-27597 for shipment CAN0881887 noting the invoice number on the payment receipt. Claim, at V-3.
17. Respondent immediately responded to the CAN0881887 payment notification stating it applied the payment to the \$7,500 outstanding unrelated demurrage invoice S-27722 on COSCO shipment 6394725110. *Id.* at V-3.
18. When Claimant contested allocation of funds to the unrelated invoice, Respondent stated it is their company policy to apply payments to the oldest outstanding balance.

Respondent informed Claimant that, because it applied the funds for CAN0881887 to invoice S-27722, the freight invoice S-27597 for shipment CAN0881887 remains outstanding and Respondent would withhold release of the shipment until payment is remitted. *Id.* at V-2; *see also* R. Resp. RFI, at Q4.

19. The consignee on shipment CAN0881887 contacted CMA CGM directly and copied Respondent to inquire whether it imposed any release conditions for the container. In response, Respondent instructed CMA CGM to hold the shipment due to Claimant's outstanding debt. *Id.* at V-13.
20. Per booking instructions, Respondent sent Claimant draft CMA CGM bill of lading for shipment CAN0892597 from the United States to Malaysia listing Vanasia Trading Group as shipper, the purchasing merchant as consignee, and Respondent as forwarding agent. R. Resp. Sec. RFI, at Q1.
21. Respondent issued invoice S-27765 to Claimant in the amount of \$1,230 for shipment CAN0892597 (container number CMAU8878419). The invoice lists a freight charge 1 x 40' HC \$1,180 and an AES fee \$50. Claim, at V-3.
22. CMA CGM issued a freight invoice to Respondent for shipment CAN0892597 in the amount of \$900 plus \$80 bunker surcharge and \$75 export documentation fee. R. Resp. Sec. RFI, at Q2.
23. Claimant paid invoice S-27765 for shipment CAN0892597 noting the invoice number, bill of lading number, and container number on the payment receipt. Claim, at V-3.
24. Respondent immediately responded to the CAN0892597 payment notification but acknowledged payment toward the outstanding demurrage invoice S-27722 for COSCO shipment 6394725110. Respondent advised Claimant that the remaining outstanding balance on this invoice was \$4,460. *Id.*
25. After Respondent applied Claimant's freight payments to invoice S-27722, Claimant repeatedly disputed the allocation, sought assurances that future payments would be credited to the proper invoices and offered to guarantee payment of disputed invoices in exchange for release of the shipments. Respondent did not accept. *Id.* at V-4.
26. Claimant emailed CMA CGM directly, copying Respondent, to notify the carrier that it had made freight payment on shipment CAN0892597 invoice S-27765, and that Claimant reserved its right to request container release. In response, Respondent told CMA CGM to ignore Claimant because it was not the booking party. *Id.*
27. Claimant reached out to CMA CGM again concerning Respondent's actions and lack of OTI license. CMA CGM replied that it does not intervene in disputes between shipping parties. The carrier stated the original bill of lading was issued as negotiable and released to Respondent as the booking party, deciding party, forwarder and payer on the bill of lading. CMA CGM stated it is Respondent's responsibility to provide the original bill of

lading to the shipper or consignee for release of the cargo. CMA CGM stated it would not release shipments without a surrendered original bill of lading after payment to Respondent. Amended Claim, at V-7, V-8, V-9. The parties continued to exchange emails copying CMA CGM in the dispute. *Id.* at V-6, V-10, V-13, V-16, V-17, V-18; Response, at Evidence 7; Amended Response, at Evidence 1.

D. Unpaid Shipments CAN0891536 & CAN0890401B

28. Per booking instructions, Respondent sent Claimant draft CMA CGM issued bill of lading CAN0891536 from the United States to Malaysia listing D&J Calianing International Trading Co. as shipper, the purchasing merchant as consignee, and Respondent as forwarder. Response, at Evidence 2.
29. Respondent issued invoice S-27764 to Claimant in the amount of \$1,450 for shipment CAN0891536. The invoice lists a freight charge 1 x 40' HC \$1,400 and an AES Fee \$50. *Id.*
30. CMA CGM issued a freight invoice to Respondent for shipment CAN0891536 in the amount of \$1,000 plus an \$80 bunker surcharge. *Id.*
31. Per booking instructions, Respondent sent Claimant draft CMA CGM bill of lading for shipment CAN0890401B from the United States to Malaysia listing D&J Calianing International Trading Co. as shipper, the purchasing merchant as consignee, and Respondent as forwarder. Response, at Evidence 3.
32. Respondent issued invoice S-27640 to Claimant in the amount of \$1,230 for shipment CAN0890401B. The invoice lists a freight charge 1 x 40' HC \$1,180 and an AES fee \$50. *Id.* Respondent also issued an amendment fee invoice S-27957 for this shipment in the amount of \$130. *Id.* at Evidence 4.
33. CMA CGM issued a freight invoice to Respondent for shipment CAN0890401B in the amount of \$900 plus \$80 bunker surcharge and \$75 export documentation fee. *Id.*
34. On September 9, 2025, Respondent sent Claimant a formal notice of lien and demand for payment on freight invoices related to CAN0892597 and CAN0890401B. In the lien notice, Respondent identifies itself as "carrier." Amended Response, at Evidence 1.
35. Claimant acknowledges it did not pay invoices S-27764, S-27640 and S-27957. Claim, at V-1.

E. Offer of Conditional Payment and Payment Demands

36. On June 23, 2025, Claimant submitted a conditional payment agreement to Respondent offering to make three separate payments of \$2,500 to settle the outstanding \$7,500 demurrage invoice S-27722 for COSCO container BMOU5037750. Claimant also guaranteed freight payment on the three unpaid invoices (S-27764, S-27640 and S27957). In exchange, Respondent would immediately release the specific shipment tied to each

\$2,500 payment. The parties unsuccessfully continued to negotiate a payment arrangement, to include demurrage on invoice S-27722, in exchange for release of all four containers. Respondent continued to send Claimant repeat demands for payment in order to release shipments. Claim, at V-5, V-6, V-10, V-13; Response, at Evidence 2, Evidence 3.

F. CMA CGM Release of Shipments

- 37. The four shipments arrived at the Port of Klang, Malaysia, between June 6, 2025 and July 3, 2025. Claim, at V-15; Response, at Evidence 2, 3.
- 38. Although Respondent continued to withhold release documents, CMA CGM released all shipments to consignees between July 7, 2025 and August 5, 2025. *Id.* at V-15; Memorandum, at ¶ II.

G. Storage Charges on Shipments CAN0881887, CAN0892597 & CAN0890401B

- 39. Westports Malaysia, the terminal operator for Port Klang Authority, issued a storage invoice to EA Shipping & Forwarding Sdn Bhd for shipment CAN0881887 from June 6 to July 7, 2025. C. Resp. RFI, at V-22.
- 40. Westports Malaysia issued storage invoices to the consignee's agent, Innofreight Sdn Bhd, for shipments CAN0892597 and CAN0890401B. Invoices reflected storage fees from June 12, 2025 through August 25, 2025. Innofreight then issued pass through invoices to the consignee for the fees. *Id.* at V-22, V-23.

H. Enforcement Requests to the FMC

- 41. On July 11, 2025, Claimant filed a Preliminary Enforcement Request to BEIC to report that Respondent was operating as an OTI without proper FMC licensing, bond or tariff publication. The complaint noted that Claimant had unsuccessfully attempted to mediate the issue with the FMC's Office of Consumer Affairs and Dispute Resolution Services (CADRS), but Respondent would not participate. C. Resp. RFI, at V-21.
- 42. In response to BEIC questions regarding Respondent's fee structure, Claimant stated that Respondent's quotes and invoices were always presented as a lump sum freight charge plus \$50 AES filing fee. Claimant never asked for a breakdown because the lump sum was understood to include carrier freight charges plus Respondent's profit margin, which it assumed would not be disclosed. *Id.*; *see also* Amended Claim, at V-19.
- 43. In reply to BEIC's contact regarding the report, Respondent asserted its own complaint against Claimant alleging deceptive commercial practices, identity misuse and improper use of regulatory channels to delay payment. The complaint was submitted to the FMC and CMA CGM. R. Resp. RFI, at Evidence 4; Claim, at V-17.
- 44. Claimant provided BEIC with an example series of promotional email solicitations sent to North American customers offering rates with COSCO and CMA CGM for specific routes. These emails show a lump sum quote. Amended Claim, at V-19.

45. BEIC determined statements in Respondent's website announcing it "can handle" ocean freight "shipments to all corners of the earth," "to any destination in the world" constituted holding out as an OTI in violation of 46 C.F.R. § 515.31(j). R. Resp. Sec. RFI, at Evidence 4.
46. Claimant's business relationship with Respondent stems back to 2021 and included over 240 shipments. Claimant understood Respondent to be a legitimate licensed OTI. C. Resp. RFI, at V-21.
47. BEIC's final investigation determined that Respondent was operating as a foreign NVOCC without required FMC registration. BEIC directed Respondent to register as a foreign NVOCC and obtain financial responsibility assurances. R. Resp. Sec. RFI, at Evidence 4.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Claims Against CMA CGM Are Not Properly Before the Commission

In the Memorandum accompanying the Claim, Claimant asserts allegations for violation of the Shipping Act against CMA CGM, an entity not named as a respondent in the Claim itself. The Commission's informal complaint procedures require a claimant to identify Respondent or respondents against whom relief is sought and provide for service of the claim upon all relevant respondents. *See* 46 C.F.R. § 502.304. Due process dictates that an individual or entity that has not been named as a respondent in the claim is not served and is not a party to the proceeding.

Because CMA CGM was not named as a respondent to the proceeding in the Claim, the allegations are not properly asserted in this proceeding. The merits of the allegations against CMA CGM are beyond the scope of this proceeding and are not addressed in this Initial Decision.

Claimant's claim against CMA CGM is **DISMISSED**. This ruling does not preclude Claimant from pursuing any claim for violation of the Shipping Act against CMA CGM in a separate complaint before the FMC.

2. Respondent's Right to Assert a Counterclaim

In its Response, Respondent incorporates various allegations against Claimant and seeks reparations to include detention and demurrage charges on related and unrelated shipments, unpaid freight, administrative burdens, and reputational damages.

Respondent has no right to assert a counterclaim in an informal complaint proceeding. Informal complaints before the FMC are governed by 46 C.F.R. § 502, Subpart S, which establishes simplified procedures designed to facilitate the prompt and efficient resolution of disputes arising under the Shipping Act. The rules governing Subpart S proceedings authorize the filing of a complaint, an answer, and other submissions as directed by the presiding small

claims officer. The rules do not provide for the assertion of cross-claims, counterclaims, or motions. *See* 46 C.F.R. §§ 502.301-304.

The Commission's Rules of Practice and Procedure establish separate procedures for formal complaints and informal small claims proceedings under Subpart S. Because the Commission has prescribed specific procedures governing Subpart S proceedings, parties may invoke only those procedural rights expressly provided for in Subpart S or incorporated by reference.

Section 502.305(a) provides that, except as otherwise specified in Subpart S or incorporated through section 502.305(b), the rules contained in Subpart A through Q do not apply to informal proceedings under Subpart S. 46 C.F.R. § 305(a). Section 502.305(b) identifies the limited provisions that are available from other Subparts that remain applicable. Notably absent from this subsection is the right to assert a counterclaim.

Respondent has no right to assert a counterclaim in an informal small claims proceeding. Any claim for relief must be pursued in a separate proceeding. Moreover, Respondent's asserted counterclaim seeks reparations exceeding the jurisdictional limit for an informal small claims case under Subpart S and must be filed as a formal complaint. *See* 46 C.F.R. § 502.301(b).

Accordingly, Respondent's counterclaim is **DISMISSED**. Nothing in this ruling precludes Respondent from filing any claim for violation of the Shipping Act it may have against Claimant in a separate complaint before the FMC.

B. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994).

C. Jurisdiction

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 997-99, 2006 WL 2007808, at *15 (FMC May 10, 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). Claimant alleges a violation of the Shipping Act within the Commission's subject matter jurisdiction. However,

jurisdiction under the Shipping Act remains at issue as both parties are entities incorporated in Canada with no subsidiary affiliates in the United States.

In its Amended Response, Respondent states that it “respects the regulatory authority of the FMC,” but contends that Canadian common law, applicable statutory provisions, and the Canadian Shipping Act, 2001, govern the dispute as both entities are incorporated in Canada. *See* Amended Response. Although Respondent did not expressly challenge FMC jurisdiction over the transactions at issue, jurisdiction is a threshold issue that must be resolved before the merits of a claim may be considered. *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, Docket No. 98-23, 28 S.R.R. 1178 (ALJ Nov. 23, 1999); *see also River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, Docket No. 96-06, 28 S.R.R. 751, 762, 1999 WL 125991, at *17 (FMC Feb. 3, 1999) (“An agency must reach jurisdictional issues before addressing the merits of a case.”). The Commission’s jurisdiction extends only to entities acting in a regulated capacity under the Shipping Act. *See TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Docket. No. 24-09, 2025 WL 1675704, at *4 (ALJ Jun. 2, 2025), *aff’d* July 3, 2025; *Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 n.1 (9th Cir. 2015).

The parties were directed to brief their position with respect to whether the FMC has jurisdiction over foreign-based freight forwarders and NVOCCs that provide transportation services involving shipments originating from the United States and destined for foreign ports. *See* RFI, at pgs. 1-2.

Claimant’s responsive briefing asserts that the Commission’s jurisdiction over foreign-based entities is determined by the nature of the entity’s conduct rather than its domicile. Claimant argues that each of the four shipments at issue originated in the United States, and transported cargo to Port Klang, Malaysia. Therefore, Claimant contends that these shipments moved in United States commerce and are subject to the Commission’s regulatory authority. Claimant further asserts that Respondent held itself out as an OTI in connection with these shipments. This conduct, according to Claimant’s position, brings Respondent within the Commission’s jurisdiction regardless of its status as a Canadian-based entity. *See* C. Resp. RFI.

For its part, Respondent states it is a Canadian company engaged in logistics coordination services and is registered and bonded with the FMC as a foreign NVOCC under Organization No. 035016.² Respondent maintains that its role with respect to the shipments at issue was limited to providing administrative booking coordination services between the shipper and third-party carrier and that it did not operate as an OTI within the framework of 46 U.S.C. § 40102. On that basis, Respondent contends that its activities do not constitute regulated OTI services and fall outside the scope of the Commission’s jurisdiction. *See* R. Resp. RFI.

1. Respondent’s Regulated Status as Defined

The Shipping Act defines and regulates several categories of entities that are engaged in the international shipment of goods by water. To establish jurisdiction, Claimant must demonstrate that Respondent was operating in a capacity regulated under the Act—specifically,

² Respondent registered as a foreign NVOCC on August 20, 2025, which is after the relevant booking transactions took place.

an ocean common carrier, marine terminal operator, or ocean transportation intermediary. *Logfret, Inc. v. Kirsha, B.V.*, Docket No. 18-10, 2019 WL 4689188 at *10 (FMC Sep. 17, 2019). In the present case, there is no allegation or evidence to suggest Respondent is an ocean common carrier or marine terminal operator. Thus, only Respondent's status as an ocean transportation intermediary is at issue.

An "ocean transportation intermediary" is defined as either an ocean freight forwarder or a NVOCC. 46 U.S.C. § 40102(20); *see also* 46 C.F.R. § 515.2(m). An "ocean freight forwarder" is a person that "*in the United States*, dispatches shipments *from the United States* via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and processes the documentation or performs related activities incident to those shipments." 46 U.S.C. § 40102(19); *see also* 46 C.F.R. § 515.2(m)(1) (emphasis added). "In the United States" means "resident in or incorporated or established under the laws of the United States." 46 C.F.R. § 515.3(a), (b); *see also* 64 FED. REG. 11156-11181, 1999 WL 114087 (Final Rule) reaff'd, 2015, 2020. By contrast, a "non-vessel-operating common carrier" is a type of common carrier that functions as a shipper and does not operate the vessels by which the transportation is provided but holds itself out to provide transportation by water *between the United States and a foreign country* for compensation and assumes responsibility for the transportation from port to point of destination. 46 U.S.C. § 40102(7), (17); *see also* 46 C.F.R. § 515.2(e), (m)(2) (emphasis added).

The distinction is significant because, with the inclusion of "in the United States," Congress expressly limited the definition of an ocean freight forwarder to persons or entities with a personal or business presence in the United States while imposing no comparable geographical limitation in the definition of an NVOCC.

Because the plain language contained in the definition of an ocean freight forwarder expressly requires that the entity be "in the United States" and the shipment originate "from the United States," a foreign company acting solely as an agent forwarder falls outside of the statutory definition of an OTI, and the jurisdictional reach of the FMC, despite the shipment originating from a port in the United States.

This statutory interpretation is reinforced by the legislative history of the definition of "ocean freight forwarder." Prior to enactment of the current statutory framework, the Shipping Act used the term "independent ocean freight forwarder" to mean "a person carrying on the business of forwarding for consideration." 46 U.S.C. App. § 801. The predecessor definition defined the phrase "carrying on the business of forwarding" to mean "the dispatching of shipments by any person on behalf of others, by oceangoing common carriers in commerce between the United States and its Territories or possessions, or between such Territories or possessions, and handling the formalities incident to such shipments." Pub. L. 87-254, 75 Stat. 522 (1961); 46 U.S.C. App. § 801. By its terms, this definition encompassed forwarding activities involving both foreign and domestic entities.

Congress substantially revised the previous Shipping Act through the Ocean Shipping Reform Act of 1984 (OSRA), which deregulated many aspects of the prior law and codified the relevant definitions into Title 46 of the United States Code (U.S.C.). *See* Pub. L. 98-237, 98 Stat. 67 (Mar. 20, 1984). Under the newly reformed Act, Congress replaced the prior definition of independent ocean freight forwarder with the current definition in section 40102(19) and

expressly added a territorial limitation requiring that the forwarder operate “in the United States.” *See id.*; 46 U.S.C. § 1702(19) (1984). Under principles of statutory construction, Congress is presumed to act intentionally when it alters statutory language. *See Russello v. United States*, 464 U.S. 16, 23 (1983).

As discussed above, because Respondent is a Canadian-based company it does not meet the statutory definition of an ocean freight forwarder. Jurisdiction, therefore, hinges on whether Respondent’s conduct satisfies the statutory definition of an NVOCC. 46 U.S.C. § 40102(7), (17).

2. Respondent’s Regulated Status According to its Conduct

The determination of whether Respondent operated as a freight forwarder or NVOCC does not turn on the label parties assign themselves, but on the substance of Respondent’s conduct. *EuroUSA Shipping, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations*, Docket No. 06-06, 2013 WL 9808689, at *10 (FMC Sept. 10, 2013); *see also Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Docket No. 96-05, 29 S.R.R. 119, 171, 2001 WL 865708, at *28 (FMC June 7, 2001). No single factor of an entity’s operation is determinative of its status as a common carrier. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. *Logfret, Inc. v. Kirsha, B.V.*, Docket No. 18-10, 2019 WL 4689188 at *12 (FMC Sept. 17, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC 1999); *Activities, Tariff Filing Practices and Carrier Status of Containerships*, 9 F.M.C. 56, 62-65 (FMC 1965)). This fact-based inquiry looks beyond documentary labels and delves into a respondent’s conduct regarding the specific shipments at issue, while considering that Respondent may have acted as a common carrier in handling some shipments but not in others. *CMI Distribution, Inc. v. Service by Air, Inc.*, Docket No. 17-05, 2021 WL 9204113, at *5, 3 F.M.C. 2d 83, 88 (FMC July 26, 2021) (*CMI*). The Commission, therefore, looks at the totality of the circumstances to determine whether a respondent functioned as a regulated entity with respect to the particular shipments at issue. *See Worldwide Relocations, Inc. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Docket No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012) (*Worldwide*).

To aid in determining the functional differences between entities that act as forwarding agents on behalf of shippers and those who operate as NVOCCs, the Commission promulgated regulations that detail the common services of an ocean freight forwarder and NVOCC. A freight forwarder typically books, arranges or confirms cargo space on behalf of a shipper; prepares or processes ocean bills of lading; and forwards freight or other monies advanced by shippers. *See* 46 C.F.R. § 515.2(h). In contrast, an NVOCC purchases transportation services from a common carrier and offers them for resale; enters into affreightment agreements with underlying shippers; issues bills of lading or other shipping documents; coordinates and pays for transportation between origin or destination and vessel; and collects freight money from shippers on its own behalf. *See* 46 C.F.R. § 515.2(k).

An entity functions as an NVOCC only if it meets the Shipping Act definition of a common carrier. Specifically, it must: 1) hold itself out to the general public as providing transportation by water; 2) assume responsibility for the transport from port or point of receipt to

the port or point of destination; and 3) use a vessel operating on the high seas between a port in the United States and a foreign country. 46 U.S.C. § 40102(7); *Anderson Int'l Transport and Owen Anderson - Possible Violations of Section 8(A) and 19 of the Shipping Act of 1984*, Docket No. 07-02, 2013 WL 9808666, at *8 (FMC June 25, 2013).

Finally, Commission precedent recognizes that an entity may initiate a transaction as a freight forwarder but attain NVOCC status by its subsequent actions during the course of the transaction. In *Tienshan*, the Commission determined that, even though Respondent performed services as an unregulated foreign forwarder when it arranged the shipments at issue, it later engaged in conduct as an NVOCC subject to regulation under the Shipping Act. *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency, Co. Ltd.*, Docket No. 08-04, 2011 WL 7144007, at *15 (FMC Mar. 9, 2011) (*Tienshan*).

3. Respondent Held Itself Out as a Transportation Provider

The first question in the common carrier analysis is whether Respondent held itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation. The Commission has said that factors such as solicitation and advertising are relevant to a determination of whether an entity is holding itself out to the public as a provider of transportation services. *Tariff Filing Practices, Etc., of Containerships, Inc.*, 9 F.M.C. 56, at 62 n.7 (FMC 1965); *Worldwide*, 2012 WL 11914713 at *6.

Respondent contends that it acted solely as an administrative booking coordinator rather than an NVOCC. *See* Response; Amended Response; R. Resp. RFI. Specifically, Respondent maintains that it neither purchases transportation from carriers for resale, nor receives commissions from the carrier but instead charges customers the carrier's freight rate plus a fixed export service fee of \$125 to \$200 per container. R. Resp. Sec. RFI, at Q4 – Q8. Moreover, Respondent states the shipments were full container loads of recycled materials and the carrier arranged and paid for transport to the port of destination, all hallmarks of forwarder activities. *Id.*

During the enforcement investigation, BEIC reviewed Respondent's website for language advertising or holding out to the shipping public to provide OTI transportation services. The BEIC investigator determined that statements from the website announcing that Respondent "can handle" ocean freight "shipments to all the corners of the earth," "to any destination in the world," constituted advertising or holding out as an OTI without a license in violation of 46 C.F.R. § 515.31(j). FFs 45-47. In addition to advertising, Respondent held itself out to Claimant as an NVOCC in its September 11, 2025 lien notice where Respondent identified itself as a "carrier." FF 34. Furthermore, Respondent's email blast solicitations appear to offer specific routes on two carriers signifying purchase of bulk rate space. FF 44. Claimant, as a member of the general public, relied on these solicitations in its belief that Respondent was an NVOCC. FF 46.

Respondent's public representations are also reflected in the manner in which it priced its services. While Respondent acknowledges that it operated under a service contract with CMA CGM, Respondent maintains that it does not receive commissions from the carrier and does not purchase transportation from carriers for resale. R. Resp. RFI, at Q4-Q8. According to

Respondent, its fee structure is the carrier's freight rate plus a fixed nominal per container administrative fee. *Id.* at Q6.

Although Respondent characterizes its compensation as a fixed fee, the documentary evidence does not support that characterization. A freight forwarder typically charges a fee and advances freight payments to the carrier on behalf of its customer, while an NVOCC purchases transportation from a carrier and resells it to the customer marked up at a profit. *See* 46 C.F.R. § 515.2(h), (k). Charging ocean freight is indicative of carrier status rather than forwarder or agent status. *CMI*, 2021 WL 9204113, at *6.

The invoices Respondent issued to Claimant list freight charges and an AES fee without itemizing an administrative or forwarding fee. FFs 14, 21, 29, 32. The quotes Respondent advertised to Claimant and its other customers were similarly a lump sum with no breakdown in costs. FF 44. In contrast, the invoices CMA CGM issued to Respondent reveal that Respondent is charging its customer a significantly higher freight rate than it purchased from the carrier. FFs 15, 22, 30, 33. For example, the difference between the amount Respondent purchased freight from CMA CGM for shipment CAN0891536 and what it charged Claimant is \$370 and \$475 for shipment CAN0881887. *Id.* This does not correspond to the \$125-\$200 administrative export fee Respondent purports to charge. Given the absence of itemization and the variance between freight costs, Respondent has not established that it merely passed through carrier freight as a forwarder rather than as an NVOCC reselling freight at a profit.

The totality of the evidence establishes that Respondent held itself out to the general public as a provider of ocean transportation services for compensation within the meaning of the Shipping Act. Respondent publicly advertised its ability to transport cargo worldwide, and directly solicited customers with transportation offers at lump sum freight rates. Respondent's pricing practices reinforce this conclusion. Rather than separately itemizing a forwarding or administrative fee while passing through carrier freight rates, Respondent quoted and invoiced a single freight amount that exceeded the rates it paid to the underlying ocean carrier. Respondent then resold the transportation to its customers at a profit. These are not the practices of a freight forwarder acting solely as an agent for its customer. Instead, this conduct exhibits practices of an entity holding itself out as the provider of transportation services. The record establishes that Respondent's conduct satisfied the first element of the Commission's common carrier analysis.

4. Respondent Assumed Responsibility for the Shipments

The second element of the common carrier analysis is whether Respondent assumed responsibility for the transportation from the port or point of receipt to the port or point of destination. 46 U.S.C. § 40102(7). Respondent contends that it cannot be considered an NVOCC because it did not issue a bill of lading and the master bill of lading issued by CMA CGM identifies Claimant as the shipper and Respondent as merely a forwarder.

Although the designation of Respondent as a forwarder on the bill of lading and the absence of a Respondent issued bill of lading are relevant considerations, neither is dispositive. The Commission has consistently held that an entity's regulatory status is determined by its conduct rather than the labels appearing on the shipping documents. *See Worldwide*, 2012 WL 11914713, at *5. In analyzing conduct to determine an entity's status, Commission precedent

establishes that, while issuing bills of lading is strong evidence that an entity assumed responsibility for transporting cargo, the absence of such bills of lading does not preclude a finding the entity acted as an NVOCC. *CMI*, 2021 WL 9204113, *11. Respondent's argument improperly elevates one evidentiary factor above the Commission's established factual inquiry into the entity's actual conduct. Nothing in the Shipping Act or Commission precedent requires an entity to issue its own bill of lading or appear as shipper on the carrier bill of lading before it may be found to have acted as an NVOCC. This conclusion is consistent with *Tienshan*, where the Commission concluded that a foreign entity initially arranged transportation as an unregulated freight forwarder but later acted as an NVOCC by exercising control over the release of cargo and withholding the bill of lading. *See Tienshan*, 2011 WL 7144007, at *15.

Here, the record establishes that CMA CGM treated Respondent as the booking party, deciding party, and paying party for the shipments at issue. The negotiable original bills of lading required to release the shipments were issued to Respondent, not the party identified as shipper on the bill of lading. FFs 13, 20, 28, 31. Thereafter, Respondent exercised complete control over release of the cargo. After the billing dispute arose, Respondent exercised its release authority by withholding the original bill of lading and directed the carrier to ignore Claimant's emails and only communicate with Respondent, to which CMA CGM deferred. FFs 18-19, 25-27, 34, 36. Respondent's undisputed authority to control release of the shipments is compelling evidence that it had assumed responsibility for the transportation and was dealing with the carrier on its own account rather than acting solely as an agent or fiduciary on behalf of the shipper. *See CMI*, 2021 WL 9204113, at *10.

In sum, the totality of the evidence establishes that Respondent assumed responsibility for the shipments within the meaning of 46 U.S.C. § 40102(7). Although Respondent did not issue its own bills of lading, Commission precedent makes clear that this fact is not dispositive. Rather, Respondent's authority over booking, payment, possession of the original bills of lading, and its unilateral authority over release of the cargo demonstrates that it assumed responsibility for the transportation as an NVOCC rather than merely acting as an agent for the shipper.

5. Respondent Used Transportation by Water

The final statutory element requires that the transportation be performed by vessel between the United States and a foreign country. 46 U.S.C. § 40102(7). Each of the shipments at issue moved by ocean vessel from the United States to Malaysia. The third element is met.

Having found that Respondent held itself out as a provider of ocean transportation services, assumed responsibility for the transportation of the shipments, and provided transportation by water between the United States and a foreign country, the undersigned concludes that Respondent operated as an NVOCC within the meaning of 46 U.S.C. §§ 40102(7) and (17). Respondent qualifies as an OTI regulated by the Shipping Act and is subject to the Commission's jurisdiction. The undersigned proceeds to the merits of the claims.

D. Allegations in the Claim

Both Claimant's initial and Amended Claim include a section entitled "Claimed Statutory Violations" listing numerous alleged violations of the Shipping Act and implementing

regulations. Claim, at ¶ V; Amended Claim, at ¶ V. Several of the cited provisions identified in those pleadings are not accompanied by factual allegations or legal arguments explaining how Respondent's conduct allegedly violated those provisions. A Claimant bears the burden to prove all elements of a violation, and a respondent is entitled to fair notice of the factual basis for the claims asserted against it. *See Houben v. World Moving Servs*, Docket No. 1887(I), 31 S.R.R. 1400, 2010 WL 11930208, at *4 (FMC July 6, 2010).

This initial decision addresses only those alleged Shipping Act violations that Claimant properly developed or supported with facts and argument in the Claim, Amended Claim and associated memoranda. To the extent Claimant merely cited statutory and regulatory provisions without developing the factual or legal basis for those violations, such allegations do not permit adjudication and are not addressed.

E. Respondent Violated 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4

Claimant asserts that Respondent violated 46 U.S.C. § 41102(c) by engaging in the unjust and unreasonable practice of reallocating payments for two shipments at issue to an unrelated demurrage invoice and then withholding shipping documents necessary for release the shipments as leverage to compel payment of freight and unrelated demurrage charges.

Section 41102(c) of the Shipping Act, formerly 10(d)(1), prohibits “common carriers, marine terminal operators, and ocean transportation intermediaries from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering of property.” 46 U.S.C. § 41102(c). The Commission promulgated 46 C.F.R. § 545.4 to clarify the elements required to establish a violation of section 41102(c). *See Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479-80 (Dec. 17, 2018).

Under 46 C.F.R. § 545.4, a complainant must establish the following elements to prevail on a claim under section 41102(c):

- a. Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- b. The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- c. The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- d. The practice or regulation is unjust or unreasonable; and
- e. The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

1. Regulated Entity

To satisfy the first element, Claimant must demonstrate that Respondent is a regulated entity—namely, an ocean common carrier, marine terminal operator, or ocean transportation intermediary. As determined in the jurisdictional discussion above, Respondent acted as an NVOCC. The regulated entity element is met.

2. Receiving, Handling, Storing, or Delivering of Property

This case concerns Respondent's conditioning of the release four shipments unless Claimant paid both the applicable freight charges and unrelated demurrage invoices. By withholding the bills of lading necessary to obtain delivery of the cargo, Respondent's conduct directly involved the receiving, handling, storing, and delivering of property and falls squarely within the scope of 46 U.S.C. § 41102(c).

3. Unjust or Unreasonable Practice

The central issue is whether Respondent engaged in unjust and unreasonable practices by applying payments remitted for shipments CAN0881887 and CAN0892597 to the unrelated demurrage invoice S-27722 and withholding the original bills of lading for release of all four shipments at issue until invoice S-27722 and the outstanding freight invoices were paid.

Respondent contends that its internal policy permits it to apply payments to the oldest outstanding invoice, regardless of the invoice for which payment was tendered. FF 18. Under that policy, Respondent asserts that it properly reallocated payments intended for shipments CAN0881887 and CAN0892597 to satisfy demurrage invoice S-27722, leaving the freight invoices for the shipments unpaid. Respondent, therefore, maintains that it possessed a maritime lien and was entitled to withhold the original bill of lading on all shipments until S-27722 and the outstanding freight invoices were paid. *See* Response, Amended Response.

Respondent's policy reallocating payment for shipments created the unpaid freight invoices upon which Respondent now relies to assert a maritime lien. The Commission has previously held that such policies are unlawful. *See Palmetto Shipping & Stevedoring Co. v. Georgia Ports Auth.*, Docket No. 85-20, 1987 WL 209056, at *40 (ALJ Apr. 10, 1987) (holding that respondent's tariff item, permitting it "to apply payments from agents to the oldest unpaid invoices regardless of the principal for whom the agent remitted payment, authorizes an unlawful practice and is unlawful on its face") aff'd, 1988 WL 340650 (FMC Jan. 29, 1988); *see also West Gulf Maritime Assoc. v. City of Galveston*, Docket No. 77-56, 22 F.M.C. 101, 107 (FMC Sept. 14, 1979) (holding a tariff item to be unlawful, which "reserve[d] the right to apply any payment received against the oldest bills rendered against vessels, their owners and/or agents, or other Users of the facilities"), recons. denied, 22 F.M.C. 401 (1980).

A maritime lien is "a privileged claim upon maritime property... arising out of services rendered to or injuries caused by that property." *Tienshan*, 2011 WL 7144007, at *15 (citing *Hawksperre Shipping Co., Ltd. v. Intamex S.A.*, 330 F.3d 225, 233 n.3 (4th Cir 2003) (quoting 1 Thomas J. Shoenbaum *Admiralty and Maritime Law* § 9-1 (3d ed. 2001)). Where freight remains unpaid, a carrier may lawfully withhold delivery of cargo to secure payment of charges

attributable to that shipment. However, Commission precedent has consistently recognized that lien rights are limited to the freight or charges arising under the applicable bill of lading and do not extend to unrelated shipments or unrelated debts. *Bernard & Weldcraft Welding Equip. v. Supertans Int'l*, Docket No. 02-12, 2003 WL 136313, at *14 (ALJ Jan. 8, 2003), admin. final Feb. 12, 2003; *Petra Pet, Inc. v. Panda Logistics, Ltd.*, Docket No. 11-14, 2012 WL 11914703, at *17, *22 (ALJ Aug. 14, 2012), aff'd, 2013 WL 9808694 (FMC Oct. 31, 2013). Likewise, longstanding admiralty law recognizes that a lien against cargo "cannot be applied ... beyond the amount of freight stipulated in the bill of lading." *American Steel Barge Co. v. Chesapeake & O. Coal Agency Co.*, 115 F. 669, 672 (1st Cir. 1902).

Apart from the scope of a maritime lien, the Commission has consistently held that withholding a bill of lading necessary to secure the release of cargo to compel payment of an unrelated debt constitutes an unjust and unreasonable practice in connection with receiving, handling, storing or delivering property under section 41102(c). See *Brewer v. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, Docket No. 99-19, 2001 WL 122035, at *4 (FMC Jan. 3, 2001) (citing *Total Fitness Equipment v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 541, 1998 WL 940255 (FMC 1998), aff'd sub nom. *Worldlink Logistics, Inc. v. Fed. Mar. Comm'n*, 203 F.3d 54 (D.C. Cir. 1999) (*Total Fitness*)). These authorities establish two related principles. First, any lien rights are shipment specific and cannot extend beyond the freight or charges due under the applicable bill of lading. Second, regardless of whether a carrier claims a lien, it acts unreasonably when it conditions release of cargo upon payment of debts arising from separate transactions.

The evidence demonstrates that Respondent's internal payment allocation policy operates to circumvent these established principles. Rather than applying payments to the specific freight invoices for which they were remitted, Respondent intentionally applied payments for shipments CAN0881887 and CAN0892597 to the unrelated demurrage invoice S-27722. FFs 18, 24. Respondent then treated the corresponding freight invoices as unpaid and relied upon purported nonpayment to justify withholding the original bills of lading. FFs 26, 34, 36. Under Respondent's policy, a customer who timely remits payment for freight on a particular shipment may nevertheless be deemed delinquent because Respondent unilaterally applies those payments to satisfy unrelated debts. Respondent's policy functions to create the very freight payment deficiency upon which it then relies upon to assert a maritime lien and withhold cargo. In effect, Respondent's policy unjustly transforms freight payments for specific shipments into a collection mechanism for unrelated debts, improperly expanding the scope of a maritime lien beyond the freight or charges due under the initial bill of lading.

As a consequence of this policy, Claimant repeatedly sought assurances that payments would be credited to shipments for which they were remitted and offered to guarantee payment on all disputed invoices. FFs 18, 25-27, 36. Under the booking arrangement with CMA CGM, Respondent controlled release of the original bill of lading and the cargo could not be released until that document was surrendered following payment. FF 27. Respondent refused Claimant's proposed guarantee of payment and continued to condition release of original bills of lading upon payment of the freight and demurrage invoices. Respondent insisted that release would occur only after the unrelated demurrage invoice and the outstanding freight charges had been paid. FF 25, 27. These communications demonstrate that Respondent used its control over the

shipping documents not merely to secure payment of freight owed on the shipments, but to compel payment of obligations arising from a separate transaction.

Respondent, nevertheless, maintains that it is entitled to withhold the shipments because it possessed a valid maritime lien. That argument does not alter the analysis. Even assuming Respondent possessed a valid lien, Commission precedent does not permit a carrier to extend a lien to compel payment of unrelated debts.

This conclusion is reinforced by the Commission's decision in a factually analogous case. In *Tianshan*, the Commission held that an NVOCC violated the Shipping Act by refusing to release a bill of lading unless the shipper satisfied an obligation arising from a prior shipment. The Commission affirmed the Administrative Law Judge's conclusion that it did not need to reach the question whether respondent had a valid maritime lien because, even assuming it did, respondent violated 10(b)(1)³ of the Shipping Act by demanding payment beyond freight owed on the shipment covered by the bill of lading. *See Tianshan*, 2011 WL 7144007, at *17 (ALJ Mar. 9, 2011). As in *Tianshan*, Respondent conditioned release of the four shipments at issue upon payment of demurrage that extended beyond the freight charges for those shipments.

Accordingly, the record establishes that Respondent failed to establish, observe, and enforce just and reasonable practices relating to the receiving, handling, storing, and delivering of property by reallocating freight payments designated for specific shipments to an unrelated debt and conditioning release of shipments on payment of that unrelated obligation. Such conduct constitutes an unjust and unreasonable practice in violation of section 41102(c).

4. Normal, Customary, and Continuous Basis

Section 41102(c) requires that the challenged conduct constitute a "practice," meaning conduct occurring on a normal, customary, and continuous basis. *See* 46 C.F.R. § 545.4(e). A single occurrence is insufficient to meet the requirement. *See Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, Docket No. 14-15, 2019 WL 7631708, at *3 (FMC Dec. 17, 2019). The Commission has further explained that the business practices appropriately adjudicated under section 41102(c) are those that extend beyond an isolated dispute and "negatively affect the broader shipping public." *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *18 (FMC Sept. 29, 2012) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367, 45368 (Sept. 8, 2018)) (*MAVL Capital*).

The record establishes that Respondent's reallocation of customer payments was not an isolated occurrence but the application of its standard accounting policy. Respondent has consistently maintained that customer payments were applied to the oldest outstanding invoice regardless of the invoice or shipment for which payment was tendered. Under this policy, payments remitted for current shipments would be credited to unrelated earlier invoices, leaving current freight invoices unpaid and permitting Respondent to withhold cargo or shipping documents pending satisfaction of unrelated debts. Because this policy governs Respondent's

³ Section 10(b)(1) is the predecessor statute of section 41102(c).

routine handling of customer payments rather than a single transaction, the conduct constitutes a business “practice” within the meaning of section 41102(c). The normal, customary, and continuous element is met.

5. Proximate Cause

The record further supports a finding that Respondent’s unreasonable practices were the proximate cause of the delay that resulted in storage and demurrage accruing on the relevant shipments.

The evidence demonstrates that the four shipments remained at the Port of Klang, Malaysia, for several weeks because Respondent refused to release the original bills of lading while insisting that Claimant satisfy the unrelated demurrage invoice S-27722. FF 36. The parties’ communications establish that Claimant and the consignee made repeated efforts to resolve the dispute prior to the arrival of the shipments at port and during the allotted free days. FFs 25, 27, 36. Nevertheless, Respondent maintained its position that the original bills of lading for shipments would not be released until the disputed obligations were satisfied, causing the shipments to remain at the port past the allotted free days. FF 36. As a result, storage and demurrage charges continued to accrue until CMA CGM ultimately released the shipments to the consignee notwithstanding Respondent’s retention of the original bills of lading. FF 38. Respondent’s conduct was, therefore, the proximate cause of the delay during which storage and demurrage charges accrued.

In summary, Respondent failed to establish, observe, and enforce just and reasonable practices relating to the receiving, handling, storing, and delivering of property in violation of 46 U.S.C. § 41102(c). Respondent’s routine practice of reallocating payments designated for specific shipments to unrelated debts and then withholding the original bills of lading as leverage to compel payment exceeded the scope of any asserted maritime lien and constituted an unjust and unreasonable practice under the Shipping Act. The evidence further establishes that this practice occurred on a normal, customary, and continuous basis and proximately caused the delay in releasing the relevant shipments, during which demurrage accrued. Claimant has met its burden to establish that Respondent violated section 41102(c).

F. Invoice S-27722 is Invalid and Unenforceable Against Claimant

Claimant asserts that demurrage invoice S-27722 is invalid because it fails to comply with the invoicing requirements of 46 U.S.C. § 41104(a)(15) and 46 C.F.R. §§ 541.5-7. Claimant contends that the invoice is fraudulent, omits information required by the Commission’s demurrage billing regulations, and was issued more than thirty calendar days after the charges were incurred. *See Claim; Amended Claim.*

Respondent, in contrast, asserts that the demurrage charges reflected on invoice S-27722 are Claimant’s responsibility pursuant to the bill of lading, which provides that detention and demurrage shall be charged in accordance with the published tariff. Although Respondent did not submit the referenced tariff into the record, it maintains that Claimant is legally responsible for these charges. *Amended Response; see also Evidence 2.*

46 U.S.C. § 41104(a)(15) provides:

(a) In General.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

....

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d)

46 U.S.C. § 41104(a)(15). In turn, subsection (d) provides:

(d) Detention and Demurrage Invoice Information.—

....

(2) CONTENTS OF INVOICE.—An invoice under Subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

Id. § 41104(d); *see also* 46 C.F.R. § 541.6.

“Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” *Id.* § 41104(f); *See also id.* § 541.5. In addition, an NVOCC must issue a demurrage invoice within thirty days from the date of issuance of the invoice it received. *Id.* § 541.7.

As discussed above, Respondent was determined to be a common carrier. Shipment 6394725110 was booked with COSCO on September 5, 2024, through NVOCC, Sea Trade International, Inc., who appears as shipper on the bill of lading. FF 6. The associated freight charge was billed to Claimant under invoice S-25897. FF 4. The shipment arrived at the Port of

Klang, Malaysia, on October 24, 2024, and Claimant paid the freight invoice on November 8, 2024. FF 5. Container OOCU7964490 was promptly collected but container BMOU5037750 was subsequently held in customs well beyond the allotted free time resulting in the accrual of demurrage beginning December 2024. FF 7. On May 1, 2025, Respondent issued invoice S-27722 to Claimant seeking payment for demurrage from December 2024 through April 2025. FF 9. The invoice identifies both containers OOCU7964490 and BMOU5037750, lists the estimated departure and arrival dates of the shipment and assesses demurrage from December 2024 through April 2025 at \$50/day, \$1,500 per month for a total invoice of \$7,500. The invoice includes a contact email address for Respondent “for more information about payment options.” *Id.* On September 9, 2025, Respondent filed a notice of lien on the container citing authority whereby shipper, consignee and the owner of the goods are responsible for freight charges and asserting a right to exercise its lien rights to recover outstanding charges for unpaid freight. FF 12.

Although invoice S-27722 identifies many of the required data points for a valid invoice, it omits information expressly required by 46 U.S.C. § 41104(d)(2) and 46 C.F.R. § 541.6. Specifically, the invoice does not identify the amount of allowed free time; the start and end dates of the free-time period; the applicable detention or demurrage rule upon which the charges are based; a statement that the charges are consistent with Commission rules governing detention and demurrage; or a statement that the common carrier’s performance did not cause or contribute to the underlying charges. The invoice, likewise, does not provide contact information for questions or requests for mitigation of the charges, as required by the regulations, and only provides a general payment contact. Additionally, Respondent’s September 9, 2025 notice of lien further undermines the reliability of invoice S-27722. The notice asserts a formal lien for outstanding *freight* in the amount of \$7,500, but attaches invoice S-27722, which seeks payment for *demurrage* rather than freight. The record establishes that Claimant already paid freight on this shipment under invoice S-25897 on November 8, 2024.

These omissions are significant because Congress expressly provided that “[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.” 46 U.S.C. § 41104(f). Accordingly, the invoice does not satisfy the minimum statutory and regulatory requirements governing demurrage invoices.

Respondent also failed to establish that Claimant was contractually liable for the demurrage charges on invoice S-27722. Respondent relies on the bill of lading, which provides that detention and demurrage are to be charged according to the terms of the published tariff. However, Respondent did not submit the referenced tariff as evidence. Without the referenced tariff, the record does not establish either the contractual basis for assessing demurrage or that Claimant, rather than the shipper or consignee, was responsible for these charges. Respondent’s assertion that Claimant was responsible for the demurrage is also inconsistent with its contemporaneous communications. On April 30, 2025, Respondent informed Claimant that demurrage would be charged under the shipper’s account, which under the bill of lading would have been Sea Trade International, Inc. FFs 6, 8. In response to the July 25, 2025 email from the carrier regarding demurrage, Respondent stated that the invoice should be issued to the consignee. FF 10.

With respect to timeliness, section 541.7 requires an NVOCC to issue a demurrage invoice within thirty calendar days after it receives an invoice from the carrier. In contrast to Claimant's contention, this provision does not require billing within thirty days of the date the charges were incurred. The record establishes that Respondent issued invoice S-27722 on May 1, 2025, seeking payment for demurrage between December 2024 and April 2025. However, the record does not establish when Respondent received the underlying demurrage invoice or invoices from the ocean carrier or terminal. Therefore, the record does not permit a determination as to whether Respondent complied with the thirty-day billing requirement of 46 C.F.R. § 541.7.

Invoice S-27722 fails to satisfy the mandatory content requirements set forth in 46 U.S.C. § 41104(d) and 46 C.F.R. § 541.6. Pursuant to 46 U.S.C. § 41104(f), those deficiencies eliminate any obligation of the billed party to pay the invoiced demurrage charges. Respondent also failed to establish that Claimant was responsible for demurrage charges reflected in the invoice. For these reasons, the charges on invoice S-27722 are unenforceable against Claimant.

G. Claimant Has Not Established Retaliation in Violation of 46 U.S.C. § 41102(d)

Claimant asserts that Respondent retaliated in violation of 46 U.S.C. § 41102(d) after Claimant filed a Preliminary Enforcement Request with BEIC alleging that Respondent was operating without a required FMC license and financial responsibility. Claim Memorandum, at ¶ IV, Supporting Violation 5.

Although Claimant does not always clearly identify how Respondent's conduct constitutes retaliation, Claimant appears to principally rely on two actions: 1) Respondent's complaint to the BEIC and CMA CGM accusing Claimant of "using regulatory channels as a tool for commercial coercion," asserting that Claimant's complaint to BEIC was a tactic to delay payment and pressure release of cargo, and claiming that Claimant was committing identity misuse; and 2) Respondent's suspension of its email blast solicitations for approximately six weeks following Claimant's BEIC report, followed by resumption of these solicitations. Claimant contends this was intended to flaunt its continued operation as an unlicensed OTI. *Id.*

Section 41102(d) prohibits a common carrier, marine terminal operator, or an ocean transportation intermediary from retaliating against a shipper by refusing to provide cargo space or engaging in "any other unfair or unjustly discriminatory action" because the shipper filed a complaint or engaged in other protected activity. *See* 46 U.S.C. § 41102(d). The statute is directed at retaliatory commercial conduct that disadvantages a shipper for exercising rights protected under the Shipping Act. Therefore, to establish a violation, the record must demonstrate a causal relationship between the protected activity and the alleged retaliatory conduct.

The conduct described by Claimant does not fall within the scope of section 41102(d). Respondent's communications with the Commission and CMA CGM providing its position regarding the parties' dispute does not constitute the denial of transportation services or other commercial action prohibited under the statute. Likewise, Respondent's decision to file its own complaint to the Commission does not constitute retaliation. The Shipping Act does not prohibit

a regulated entity from responding to allegations against it or from filing a complaint with the Commission. Whether Respondent's allegations are accurate or unfounded is not determinative of whether Respondent engaged in retaliation under section 41102(d).

Claimant also alleges Respondent's resumed email solicitations were intended to provoke Claimant and signal Respondent's continued operation as an unlicensed OTI. The record, however, does not establish that these solicitations were directed specifically to Claimant rather than distributed as part of Respondent's general marketing.

To the extent that Claimant contends Respondent's statements were false, defamatory or damaging to Claimant's reputation, those allegations fall outside of the Commission's jurisdiction. The Commission's authority is limited to determining whether Respondent violated the Shipping Act and does not extend to claims of defamation and reputational harm arising from commercial disputes. *See Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

Claimant has not established that Respondent retaliated against Claimant in violation of 46 U.S.C. § 41102(d).

H. Respondent's Failure to Meet the General Duties of an OTI

Claimant contends that Respondent violated the general duties of an OTI set forth in 46 C.F.R. § 515.31(e), (f), (g), (i) and (j). Claim, at ¶ IV; Claim Memorandum, at ¶ IV.

Section 515.31(e) prohibits an OTI from knowingly preparing false or fraudulent documents or imparting information regarding an OTI transaction that it knows to be false. 46 C.F.R. § 515.31(e). This provision requires that the OTI act with knowing intent. Claimant has produced no evidence establishing that Respondent issued invoice S-27722 knowing it to be false or fraudulent. Likewise, the record contains no evidence that Respondent knowingly made false statements to CMA CGM or the FMC. Claimant has not established a violation of 46 C.F.R. § 515.31(e).

Subsection (f) governs an OTI's obligations with respect to a principal's errors or omissions. Claimant contends that Respondent violated this provision by filing an FMC complaint alleging Claimant's identity misuse. The undersigned finds that this provision does not apply to the conduct alleged. Even if it did, filing a complaint with the FMC is a protected activity. Claimant has not established a violation of 46 C.F.R. § 515.31(f).

Subsection (g) requires an OTI to respond to Commission requests for business records or other information. Claimant asserts that Respondent violated this provision by refusing to participate in the FMC Consumer Affairs Dispute Resolution Services (CADRS) mediation process. CADRS is an entirely voluntary dispute resolution program offered by the FMC. *See* 46 C.F.R. § 502.403(a).⁴ Respondent, therefore, had no legal obligation to participate in the

⁴ *See also* <https://www.fmc.gov/about/bureaus-offices/consumer-affairs-dispute-resolution-services/>.

mediation process or provide information or documentation to CADRS. Claimant has not established a violation of 46 C.F.R. § 515.31(g).

Subsection (i) concerns an OTI's duty to account to the principal. While this proceeding involves Respondent's accounting practices, the provision specifically relates to credits and debits received from third parties and is not applicable to the circumstances presented here. Claimant has not established a violation of 46 C.F.R. § 515.31(i).

Claimant has, however, established a violation of 46 C.F.R. § 515.31(j) and its parallel statute 46 U.S.C. § 40901(a). These provisions prohibit a person from advertising, holding oneself out, or acting as an OTI unless that person holds a valid OTI license or is properly registered. 46 C.F.R. § 515.31(j); *See also* 46 U.S.C. § 40901(a). Upon Claimant's Preliminary Enforcement Request, BEIC initiated an investigation into Respondent's business practices and determined that Respondent had operated as an NVOCC without licensing or registration with respect to at least some of Respondent's business during the time frame relevant to this proceeding. FF 48. At BEIC's direction, Respondent registered with the Commission and obtained the required financial responsibility, effective August 20, 2025. FF 3. As discussed above, the record further establishes that Respondent acted as an OTI with respect to the shipments at issue while operating without an FMC license or registration.

Claimant has established that Respondent violated 46 U.S.C. § 40901(a) and 46 C.F.R. § 515.31(j) by operating and an OTI without the required FMC license or registration.

I. Claimant's Requests for Relief

1. Request for Invalidation of Invoice S-27722

Claimant requests a declaration that demurrage invoice S-27722 is void. As discussed above, the record establishes that invoice S-27722 does not satisfy mandatory invoicing requirements of 46 U.S.C. § 41104(d) and 46 C.F.R. § 541.6. In addition, the evidence fails to establish that Claimant was contractually liable for the demurrage charges reflected in the invoice. Accordingly, Claimant's request to invalidate invoice S-27722 is granted. Respondent is directed to reapply any funds improperly diverted to S-27722 to invoices S-27597 for shipment CAN0881887 and S-27765 for shipment CAN0892597 consistent with Claimant's original remittance instructions.

2. Request for Refund of Misapplied Freight Payments

Claimant requests a refund of the two freight payments Claimant remitted for shipments CAN0881887 and CAN0892597. C. Resp. Sec. RFI, at Q2.

The Shipping Act authorizes the Commission to award reparations for "actual injury caused by a violation" of the Act. 46 U.S.C. § 41305(b). Although Respondent's reallocation of those payments formed part of its unjust and unreasonable practice under 46 U.S.C. § 41102(c), Claimant must nevertheless establish that it sustained an actual monetary loss to recover reparations.

Throughout the parties' dispute, Respondent applied the freight payments received for shipments CAN0881887 and CAN0892597 to invoice S-27722 and demanded that Claimant remit payment for outstanding freight for these two shipments. It is unclear from Respondent's pleadings whether it subsequently reapplied those funds to the proper invoices. Nevertheless, as directed in the preceding section, Respondent must reapply the funds from invoice S-27722 to invoices S-27597 for shipment CAN0881887 and S-27765 for shipment CAN0892597. Accordingly, invoices S-27597 and S-27765 are satisfied in full.

Because shipments CAN0881887 and CAN0892597 were transported as contracted and payment for those services has been satisfied, Claimant has not established that it suffered an injury and is not entitled to recover the freight payments.

3. Request for Reparations Due to Respondent's Violations of the Act

Claimant seeks reparations under several distinct categories: 1) cargo value loss resulting from market changes and commercial disruption; 2) regulatory clearance fees; and 3) demurrage and storage charges.

The purpose of reparations is to restore the injured party to the position it was in before the violation of law or place the party in the same economic position it would have been in had the injury not occurred. *Brewer v. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 28 S.R.R. 1331, 1336 (ALJ 2000). Complainants bear the burden of proving both the existence and amount of damages claimed. See *MAVL Capital*, 2022 WL 2209421, at *2; *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003). A violation of the Shipping Act, standing alone, does not entitle a complainant to reparations absent proof of pecuniary loss proximately caused by the violation. *MAVL Capital*, 2022 WL 2209421, at *3. Damages must be shown by "competent evidence and with reasonable certainty." *California Shipping Line, Inc. v. Yangming Marine Transp. Co.*, 25 S.R.R. 1213, 1230 (FMC 1990).

Claimant contends that Respondent's violation of 46 U.S.C. § 41102(c) delayed release of the shipments until after July 1, 2025, when new regulatory changes at the Port of Klang allegedly reduced the market value of the cargo, increased regulatory costs, caused canceled orders, resulted in lost business opportunities, and damaged Claimant's reputation. The record, however, contains no documentary evidence substantiating the port's new regulatory implementation, market impact or Claimant's alleged commercial losses. Indeed, Claimant acknowledges that its damages are "not yet quantifiable in monetary terms." Claim, at ¶ VI. Moreover, the record does not establish that any decline in cargo value or commercial loss was proximately caused by Respondent's conduct rather than independent market conditions. Claimant may have experienced commercial losses related to Respondent's violation of section 41102(c); however, because these losses are speculative and have not been proven with reasonable certainty, reparations are not available.

Claimant also seeks reparations arising from Respondent's violation of 46 U.S.C. § 40901(a) and 46 C.F.R. § 515.31(j) operating without an OTI license. Although Respondent was found to have operated as an unlicensed NVOCC, Claimant identifies no actual injury resulting from Respondent's unlicensed status. Reparations are not available on this basis.

Finally, Claimant also seeks reparations for demurrage and storage charges resulting from Respondent's violation of 46 U.S.C. § 41102(c). Commission precedent recognizes that demurrage and storage charges may constitute recoverable reparations where they were proximately caused by a carrier or NVOCC's unjust and unreasonable withholding of cargo. *See Total Fitness*, 1998 WL 940255, at *12 (FMC 1998). As discussed above, Respondent's violation of section 41102(c) was the proximate cause of the delay during which storage and demurrage charges accrued. Claimant, nevertheless, bears the burden of proving that it actually incurred those charges.

In response to the second RFI requesting evidence supporting reparations, Claimant submitted storage invoices reflecting charges it incurred during the period at issue for three shipments CAN0881887, CAN0892597 and CAN0890401B. Those invoices, however, were issued to the consignee's agent. In the case of two shipments, the agent in turn issued separate invoices to pass through the charges to the consignee.

Commission precedent establishes that only the party who actually paid the charges can sue for reparations and cannot rely on a pass-on theory to recover reparations for overcharges. Moreover, the Commission follows strict proof requirements. Complainants can recover only if they introduce evidence that they actually paid the charges or received assignment from a party who did. *See In re Vehicle Carrier Services*, 2018 WL 2214682, at *38 (ALJ May 7, 2018).

Claimant produced no storage invoices issued to it directly, no evidence that it reimbursed the consignee or its agent, no proof that it actually paid the charges, and no assignment from the party that paid. Claimant produced no demurrage invoices at all. Claimant has not demonstrated that it incurred, paid, or otherwise became legally responsible for storage or demurrage charges.

Although Respondent violated section 41102(c), Claimant has not established that it sustained actual losses necessary to recover reparations for storage and demurrage fees. Claimant's request for reparations is denied on this basis.

4. Compensation for Administrative and Internal Costs

Commission regulations allow a prevailing party to file a petition for attorney fees within thirty days after an initial decision becomes final. 46 C.F.R. § 502.254. The regulations define attorney fees as the "fair market value of the services of anyone permitted to appear and practice before the Commission." *Id.* The Commission has interpreted section 502.254 to authorize only reasonable "attorney fees," which does not include "costs." *See Tienshan*, 2011 WL 7144007, at *19; *Global Transporte Oceanico S.A. v. Coler Independent Lines Co.*, 28 S.R.R. 1162, 1163 (ALJ 1999).

Claimant appeared in this proceeding without counsel and seeks compensation for the time and administrative effort expended in pursuing its claims. Although Claimant demonstrated it devoted significant time and resources to this proceeding, Commission Rule 502.254 does not authorize recovery of attorney fees for a self-represented party's time, administrative costs or other expenses associated with a Claim before the Commission. Because the request for compensation falls outside the scope of the regulation, Claimant's requested relief is denied.

5. Claimant's Request for Cease and Desist Order

As discussed above, Claimant asserts that Respondent violated the general duties of an OTI under various sections of 46 C.F.R. § 515.31 and requests that the Commission issue a cease and desist order prohibiting Respondent from continuing to operate as an unlicensed OTI. *See* Request to Amend; Amended Claim, at ¶ VI.

The Commission has the authority under the Shipping Act to order regulated entities to cease and desist from violating the Shipping Act and implementing regulations. *Bimsha Int'l v. Chief Cargo Serv. and Kaiser Apparel, Inc.*, Docket No. 10-08, 2013 WL 9808692, at *7 (FMC Sept. 4, 2012). Such relief is generally appropriate when there is a reasonable likelihood or expectation that Respondent will continue or resume illegal activities. *Alex Parsinia d/b/a Pacific Int'l Shipping and Cargo Express*, 27 S.R.R. 1335, 1342 (FMC Dec. 4, 1997). In determining whether to issue cease and desist orders, the Commission considers, among other factors, whether Respondent remains engaged in the regulated activity and whether there continues to be a reasonable need for such orders. *Worldwide*, 2012 WL 11914713, at *10.

The record does not establish that a cease and desist order is warranted here. Following Claimant's Preliminary Enforcement Request, BEIC determined that Respondent had operated as an OTI without the required license or registration and financial responsibility. Respondent was advised of the licensing and financial responsibility requirements applicable to its activities in the United States. *See* R. Resp. Sec. RFI. As instructed, Respondent registered with the Commission as a foreign NVOCC and obtained the required financial responsibility sureties on August 20, 2025. Since that date, Respondent has operated under FMC Organization No. 035016. *Id.* The evidence indicates that Respondent has taken the necessary steps to bring its operations into compliance with the Shipping Act and Commission regulations. Because there is no evidence that Respondent continues to operate without the required regulatory oversight, or that future violations are reasonably likely, a cease and desist order is not necessary to protect the shipping public.

Accordingly, Claimant's request for a cease and desist order prohibiting Respondent from operating as an unlicensed OTI is denied.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that Respondent violated the Shipping Act, 46 U.S.C. § 41102(c) and 46 U.S.C. § 40901(a), it is hereby

ORDERED that Claimant's claim against CMA CGM is **DISMISSED**. It is

FURTHER ORDERED that Respondent's counterclaim is **DISMISSED**. It is

FURTHER ORDERED that Respondent did not violate 46 U.S.C. § 41102(d). It is

FURTHER ORDERED that Respondent violated 46 U.S.C. §§ 41102(c), 40901(a) and 46 C.F.R. § 515.31(j), however Claimant's request for reparations is **DENIED**. It is

FURTHER ORDERED that demurrage invoice S-27722 is invalid and unenforceable against Claimant. It is

FURTHER ORDERED that funds allocated to invalidated invoice S-27722 be reapplied to invoices S-27597 for shipment CAN0881887 and S-27765 for shipment CAN0892597. Claimant is not entitled to a refund of freight payment for these shipments. It is

FURTHER ORDERED that a cease and desist order is **DENIED**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.

Debra L. Tesh -S

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Debra L. Tesh
Small Claims Officer